EXECUTIVE SUMMARY

Benchmarking Proposal for Company XYZ Data Centres

Prepared for	Executive Management, Company XYZ
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Subject	A More Efficient and Effective Benchmarking Initiative as Part of a TQM Strategy

1. Context and Problem

The Gartner Case Study concludes in its Bottom Line that "the project demonstrate that multiple, simultaneous benchmark studies are possible and produce useful data and action strategies, but such projects are not universally desirable." Company XYZ ran three simultaneous regional benchmarking studies across EMEA, APAC, and Americas within a single 3-month window. Although results placed XYZ in the top 10% of the Gartner database, the project director explicitly stated: "If we were to do it again, we would definitely stagger the regional projects."

2. Key Issues Identified

- Resource overstretch: running 3 regions simultaneously drained consultant and management capacity
- No opportunity to learn between studies: simultaneous execution prevented lessons from Region 1 improving Region 2 and 3 design
- Inconsistent data quality: parallel studies produced varying collection standards across regions
- Change barriers not managed: insufficient time to address resistance and embed change per region

3. Proposed Approach

3.1 PDCA Cycle Embedded in TQM Strategy

The new benchmarking initiative applies the Deming PDCA Cycle (Plan-Do-Check-Act) across a staggered, 3-year programme: Year 1 EMEA, Year 2 APAC, Year 3 Americas. This staggered approach directly addresses the project director's own recommendation — had the original studies been staggered, lessons from one region would have strengthened the next. Each year follows the same 6-milestone project plan: (1) Select subject: Data Centre Power Usage Effectiveness (PUE) as the Year 1 focus metric, (2) Internal investigation including SWOT analysis of current data centre benchmarking capability, (3) Select partner organisation, (4) External investigation, (5) Analysis and improvement identification, (6) Implementation and validation.

3.2 Type of Benchmarking

Functional Benchmarking is recommended: comparison with non-competitors that carry out the same data centre functions (cooling, power management, facilities). This avoids the legal and ethical risks of Competitive Benchmarking with direct rivals, particularly around pricing data (Code of Conduct Section 6.2). Year 1 focus metric: Power Usage Effectiveness (PUE).

3.3 FMEA Pre-Screening

Before each regional study, a Failure Modes and Effects Analysis (FMEA) is conducted on the benchmarking process itself (illustrative, applied to the data centre benchmarking process). Risk Priority Numbers (RPN = Severity x Occurrence x Detection, max 1,000) are calculated for all potential failure modes. The threshold is set at the top 10% (RPN >= 225). The highest-risk failure modes are: wrong benchmarking method selected (RPN 315), wrong briefing of partner organisation (RPN 315), and poor quality of partner's first interview (RPN 315). These must be resolved before the visit proceeds. Pareto logic applies: 20% of failure modes drive 80% of risk.

3.4 Benchmark Visits

Pre-visit preparation follows Bendell's Pre-Visit Preparatory Sheet and Pre-Visit Letter structure (company introduction, process offered, questions, questionnaire). The visit team includes: process owner, customer of the process, supplier of the process, MoM coordinator, and question owners (KISS principle). During the visit, the team adheres strictly to the European Benchmarking Code of Conduct (8 principles: Preparation, Contact, Exchange, Confidentiality, Use, Legality, Completion, Understanding and Agreement). Debriefing takes place on the same day.

3.5 Data Analysis

Two elements are analysed together (Bendell, 1997): what is achieved (performance metrics: PUE, cost per kWh, uptime) and how and why it is achieved (practice and process). Two key questions guide the analysis: how big is the gap between their performance and ours, and how much of their experience is applicable to our situation.

3.6 Implementation and Change Management

Implementation follows Lewin's Three Stage Change Process: Unfreeze (disturb equilibrium, challenge assumptions, create urgency through benchmarking data), Move (from old to new behaviours, pilot on small scale first), Refreeze (stabilise new behaviour, balance driving and restraining forces). The House of Change model guides the consulting team in identifying which room each stakeholder group occupies (Contentment, Denial, Confusion, or Renewal) and applying appropriate interventions. Change barriers are assessed across people, systems, and organisational dimensions using the 7S and PEST frameworks.

3.7 Communication Strategy

Communication is multi-level and multi-channel. As Fehlings notes: "It is not just e-mails." Key actions: communicate at all levels (executive to operational), explain the big picture (connect benchmarking to TQM strategy), show respect for the past, surface early success stories, celebrate milestones, and maintain two-way feedback loops.

4. Conclusions and Recommendations

1. **Stagger regional studies:** Year 1 EMEA, Year 2 APAC, Year 3 Americas. Apply lessons from each to the next.
2. **Appoint process owner and cross-functional team:** define roles, MoM coordinator, and question owners before each study.
3. **Run FMEA pre-screening before each study:** resolve all failure modes with RPN >= 225 before the benchmark visit proceeds.
4. **Embed in TQM strategy with annual PDCA review:** calibrate the benchmark continuously (Xerox model). Benchmarking is not a one-off exercise.
5. **Strictly follow the European Benchmarking Code of Conduct:** legal advice before any competitor contact, data blinded, no pricing discussions.

5. TQM Linkage

Benchmarking must become part of the organisational TQM strategy, not a standalone project. The EFQM Excellence Model frames this: Enablers (Leadership, People, Strategy, Partnerships, Processes, 50%) drive Results (Customer, People, Society, Business Results, 50%). As Xerox demonstrated (cited in Bendell, 1997), the benchmark itself must be calibrated continuously — no study should be treated as a one-off final answer. The distinction between Marginal Management (where are we vs last year) and Benchmarking (where are we vs the market leaders) is fundamental: only benchmarking drives genuine performance breakthroughs. Company XYZ's new initiative, structured as a staggered, PDCA-driven, FMEA-screened programme embedded in TQM, provides the foundation for sustained world-class data centre performance.